From:	Michal Gryglewski
To:	Tim Danaher
CC:	Diana Jajeh
Sent:	9/14/2019 3:34:19 AM
Subject:	Re: August invoice payments

Thanks, not for Flexport.
He's still approving bank transfers for Spain, but very timely.

On Fri, 13 Sep 2019 at 23:27, Tim Danaher <tim@juul.com> wrote:

Thanks, anything pending Alberto H that we need to address?

From: Michal Gryglewski <michal.gryglewski@juul.com>
Sent: Friday, September 13, 2019 5:25 AM
To: Tim Danaher <tim@juul.com>
Cc: Diana Jajeh <diana.jajeh@juul.com>
Subject: Fwd: August invoice payments

Hi Tim,

hope you're well.

Quick update on UK HoldCo open invoices. Grant had similar questions the other day.

We've received in August a **significant amount (571)** of Flexport invoices that have been re-issued to EMEA.

Unfortunately some of them dating back as far as April or May, when Global Supply Chain ordered an audit of Flexport charges.

These are getting prioritized and processed now. Status, as of 31.08 below.

Please let me know if you have any questions.

Michal.

Row Labels	**Count of**	**Sum of**

NC-JLI-Consent Judgment
Source: https://www.industrydocuments.ucsf.edu/docs/xtyy0364

	Amount	Amount
Less than 30 days	255,00	6 722 078,64
Over 30 days	1,00	1 350,27
Over 60 days	15,00	621 269,30
Over 90 days	32,00	857 924,97
Not due	268,00	5 257 057,88
Grand Total	**571,00**	**13 459 681,06**

Row Labels	Sum of Amount
Authorized for payment	**41 334,19**
Not visible on the Flexport's site	**24 984,39**
Pending approval Carlo N.	**10 227 347,88**
Pending approval Susanne L.	**1 683 071,22**
Rejected - air freight cost too high	**37 453,98**
Rejected - origin surcharge, pick up and delivery incorrect.	**41 465,94**
Rejected - storage costs removed by Flexport	**522,49**
Stampli Error	**58 076,98**
Voided	**558 774,45**
Pending approval Alberto A.	**488 118,75**
Pending authorization	**237 716,78**
Pending approval Handam S.	**60 814,01**
Grand Total	**13 459 681,06**

---------- Forwarded message ---------
From: **Paul Coccovillo** <pcoccovillo@juul.com>
Date: Wed, Sep 11, 2019 at 9:29 PM
Subject: Re: August invoice payments
To: Michal Gryglewski <michal.gryglewski@juul.com>
Cc: Diana Jajeh <diana.jajeh@juul.com>, Susanne Lehrfeld <susanne.lehrfeld@juul.com>, Grant Winterton <grant@juul.com>, Caroline Gardner <caroline@juul.com>

Thanks Michael,

For everyone's benefit let me just summarize a few points of background and ongoing efforts underway on the freight process.

In the beginning part of the year we were having significant vendor compliance issues with Flexport. They were declaring incorrect entities on import documentation and rates were questionable. This led to Logistics putting a full stop to all invoices (both being processed and paid) until a full 100% audit was completed. The COO of Flexport and his senior staff was also brought in for a relationship discussion that resulted in us being issued an entirely new program management team.

NC-JLI-Consent Judgment
Source: https://www.industrydocuments.ucsf.edu/docs/xtyy0364

The 100% audit took roughly 2 months to complete, and resulted in a very large backlog that was started to be passed over to us last month. This is why there has been a very large number of invoices landing on approvers for the past 6-8 weeks as that backlog is still unwinding it's way through the Stampli approval process.

From a process transformation perspective Nelson's team is in process of rolling out a freight bill audit and payment company (CTSI) to outsource the rate validation. We're testing this flow with 1 US carrier now and we're seeing about a 70% automated approval rate / 30% requires manual review sign off. There's a decision meeting next week to decide if we're at a stable enough status to incorporate Flexport onto it.

In terms of spend review, we have a weekly checkpoint with Flexport over their aging to ensure they're current and we're not at risk of any service interruptions. As of this week we were approximately 85% current / 15% past due with them, and they have visibility to the path to get them fully current.

Just FYI, the dollars for UK spending seem veryarge in the history because Flexport is also our customs broker and those numbers include import VAT, which is 21% of product cost.

On Wed, Sep 11, 2019, 11:52 AM Michal Gryglewski <michal.gryglewski@juul.com> wrote:

+Paul Coccovillo

Hi Grant,

Paul and his team are on top of this. It has been discussed and agreed with Flexport to correct and re-issue a significant batch of invoices in July.

Hope this helps.

Michal.

On Wed, Sep 11, 2019 at 7:31 PM Diana Jajeh <diana.jajeh@juul.com> wrote:

Susanne,

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Source: https://www.industrydocuments.ucsf.edu/docs/xtyy0364

I know there is a lot of work being done by the team and this must be so onerous on the logistics team. Much appreciated.

I want to offer members of my Process Transformation team to help look at the process and try to get to the root cause issues to avoid future audits and rework on your team and other teams.

Happy to help, let me know.

Thanks

Diana Jajeh

VP - Global Finance Operations & Business Transformation

Dallas - Texas Gdansk - Poland

photo juul labs_sig2_zpsb4v2zjwf.jpg

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On Wed, Sep 11, 2019 at 9:26 AM Susanne Lehrfeld <susanne.lehrfeld@juul.com> wrote:

The invoices include freight in, custom charges and VAT

Susanne Lehrfeld, Director Logistics EMEA

Juul Labs | Gertigstrasse 14a, 22303 Hamburg

Von: Grant Winterton <grant@juul.com>
Datum: Mittwoch, 11. September 2019 um 18:08
An: Susanne Lehrfeld <susanne.lehrfeld@juul.com>
Cc: Caroline Gardner <caroline@juul.com>, Diana Jajeh <diana.jajeh@juul.com>, Michal Gryglewski <michal.gryglewski@juul.com>
Betreff: Re: August invoice payments

$10 m must be our entire payments this year ?

Source: https://www.industrydocuments.ucsf.edu/docs/xtyy0364

On Wed, 11 Sep 2019 at 17:03, Susanne Lehrfeld <susanne.lehrfeld@juul.com> wrote:

Yes, it is of Flexport invoices for freight in that have been re-issued and submitted to EMEA

They invoice by shipment and we have received over 200 invoices in bulk… so takes a while to work through every single one of them.

Gert is running a project to manage the freight audit and payment process across all regions with CTSI to improve that process.

Susanne Lehrfeld, Director Logistics EMEA

Susanne Lehrfeld, Director Logistics EMEA

Juul Labs | Gertigstrasse 14a, 22303 Hamburg

Von: Grant Winterton <grant@juul.com>
Datum: Mittwoch, 11. September 2019 um 17:42
An: Michal Gryglewski <michal.gryglewski@juul.com>, Susanne Lehrfeld <susanne.lehrfeld@juul.com>
Cc: Caroline Gardner <caroline@juul.com>, Diana Jajeh <diana.jajeh@juul.com>
Betreff: Re: August invoice payments

thanks for the progress and clear tracking

over $10M of invoices sit with the logistics team? do I understand right?

Regards

Grant Winterton, President EMEA

Juul Labs 560 20th Street, San Francisco, CA 94107

Fehler! Es wurde kein Dateiname angegeben.

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Source: https://www.industrydocuments.ucsf.edu/docs/xtyy0364

On Wed, Sep 11, 2019 at 2:51 PM Michal Gryglewski <michal.gryglewski@juul.com> wrote:

Dear Grant,

hope you are well.

I'd like to share with you August statistics on invoice payments, as well as progress we've achieved stabilising the PTP process.

Current status

While volumes of invoices remained stable in August vs July, we have achieved a **significant improvement** in making payments on time.

Over **57%** of all payments were made to terms, an **increase of 45%** (20 percentage points) over July.

Total EMEA								
	Aug'19		Jul'19		Jun'19		May'19	
Paid on time	770	57,63%	532	**38,49%**	270	**34,01%**	116	**18,24%**
Paid late	566	**42,37%**	850	**61,51%**	524	**65,99%**	520	**81,76%**
0-15 days	246	43,46%	308	36,24%	220	41,98%	183	35,19%
16-30 days	126	22,26%	169	19,88%	122	23,28%	72	27,31%
31-60 days	84	14,84%	193	22,71%	109	20,80%	17	21,92%
61-90 days	60	10,60%	97	11,41%	43	8,21%	54	10,38%
>90 days	50	8,83%	83	9,76%	30	5,73%	27	5,19%
Total	**1336**		**1382**		**794**		**636**	

As we continued to clean up old, aged items throughout August a **significant amount (571)** of Flexport invoices has been re-issued and submitted to EMEA.

Unfortunately some of them dating back as far as April or May, when Global Supply Chain ordered an audit of Flexport charges.

This has influenced the overall ageing for August. Otherwise, we'd have come out much cleaner in the 30+ days bracket.

As of today we have 83 items >60days (45 Flexport to be reversed and 15 MK Group).

Please see below the Flexport status, as of 31.05:

NC-JLI-Consent Judgment
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Grand Total	**13 459 681,06**

New Measure

As we look to measure the end-to-end PTP performance, we have now introduced a new KPI as below.

Avg time for invoice to be fully **processed and paid** to vendor was **23.5 days** in EMEA in August.

This KPI shows the avg time to process an invoices, including setting up vendor account, raising PR/PO, approvals.

PL	14,69
FR	24,66
DE	13,61
IT	34,12
UKHoldCo	33,99
ES	25,24
UK	24,38
CH	24,82

NC-JLI-Consent Judgment
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IE	22,78
PT	6,22
BE	35,33
NL	28,71
CZ	22,22
PLGBS	18,30
Average EMEA	**23,46**

Action plan & next steps

As most of the previous improvements are now in play, we are still working on several Concur set-up changes, as well as **new ACM functionality** to send out automatic remainders to PO creators and approvers pending their actions. This should hopefully improve timeliness of PO approvals as this part of the overall process suffers most today.

New DoA matrix was finally implemented for EMEA as of end of August.

- ACM system limitations and improvements in play:
    - AP ageing report refinement;
    - block ability to create PRs in old HoldCo GBP;
    - auto-approval of PRs when DoA is empty for a given category;
    - "time to approve" in ACM - requested new report;
    - Flexport catch-up and stabilisation;
    - ACM to send out remittance advice to vendors;

Please do not hesitate to let me know should you need more details.

--
Michal Gryglewski
Head of Global Business Services
Juul Labs Services Poland
(M) +48 884 207 716
photo juul labs_sig2_zpsb4y2zjvf.jpg
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